ECONOMY

FDI

INDIA'S FDI SQUEEZE

THE ECONOMY SEEMS ROBUST, BUT FOREIGN INVESTORS ARE SHYING AWAY FROM PUTTING THEIR BIG, LONG-TERM BETS ON INDIA

I By M.G. Arun I

One of the narratives of the Bharatiya Janata Party on the eve of the general election in May-June this year was that India, under the Narendra Modi government, was beginning to claim her rightful place in the world. It was growing at 7 per cent, was the fastest growing major economy, was poised to become the world's third largest economy by 2027 and, with policies aimed at improving the ease of doing business, was attracting the best of investment from overseas. Becoming a manufacturing hub for the world for at least some goods also seemed well within sight.

But the ground situation is not so rosy. While India has been growing at a robust pace, it has not translated into more foreign direct investment (FDI), a barometer for investors' appetite in the India growth story. On the contrary, FDI has been on a downward trajectory. Total (or gross) FDI inflows into India fell over 16 per cent to $70.9 billion (Rs 6 lakh crore) in FY24, from $84.8 billion (Rs 7.2 lakh crore) in FY22. It was $71.4 billion (Rs 6.02 lakh crore) in FY23. As a percentage of the GDP, net inflows of FDI fell from 2.4 per cent in 2020 to 1.4 per cent in 2021. It rose marginally to 1.5 per cent of the GDP in 2022, only to fall precipitously to 0.8 per cent in 2023. Just ahead of the global financial crisis in 2008, FDI had touched an all-time high of 3.6 per cent of the GDP.

"FDI follows the path of domestic private investment, and the latter had been sluggish for some time," says Naushad Forbes, co-chairperson, Forbes Marshall. "Foreign companies are making money in India, but there is no compulsion for them to add capacity in India due to poor demand. So they repatriate." FDI repatriation is when international corporations move their investments back to their home country after earning returns. This can be done through dividends, share buyback and remittance of assets like share proceeds from shares and securities. There is a three-year lock-in period that is applicable in some sectors such as defence.

Experts say that the cumulative rise in protectionism post the global financial crisis, its intensification since the US-China trade war, and the Covid-19 pandemic had dampened global FDI inflows. FDI inflows seem to be concentrated in fewer sectors, and the portion being repatriated is rising. Add to this the cumbersome regulations that businesses need to comply with, all of which have slowed down foreign investment. Of the $70.9 billion FDI inflow in FY24, foreign companies repatriated or disinvested 63 per cent or $44.4 billion (Rs 3.7 lakh crore), taking the net FDI inflows to $26.5 billion (Rs 2.2 lakh crore) for the year.

Falling FDI has been a matter of concern for the government of India. Union

Illustration by TANMOY CHAKRABORTY